

374 Cypress Drive

Laguna Beach, CA — Cypress Garden Apartments · 10 units · Acquired September 2020

EST. LEVERED RETURN 72.30%	ESTIMATED PROFIT \$1,585,251
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THE OPPORTUNITY

A 10-unit "trophy" asset in Laguna Beach — originally built in 1948 as the Cypress Garden Resort Hotel & Apartments. Located 1,618 feet from Main Beach and 2,268 feet from downtown Laguna's restaurants and art galleries. The acquisition press release described it as "a quiet, luxurious hideaway, a stone's throw from the very center of things." This was the first acquisition for VWC Multifamily Fund IV, which opened to investors September 1, 2020.

THE STRATEGY

The acquisition itself is a case study in VWC's sourcing discipline. VWC originally reviewed the property in April 2020 with a strike price \$1M below the listing. Patience and perseverance worked — by July 2020 the seller became amenable. The broker cited two reasons VWC won the deal: (1) the completeness of the buyer package, and (2) VWC's existing ownership of two other Laguna Beach properties within walking distance. Submarket density is competitive moat.

DEAL SNAPSHOT

Acquisition Price	\$4,050,000	Loan Amount	\$2,822,000
Per Unit	\$405,000 / unit	Loan-to-Cost	56%
CapEx	\$391,749	Equity Invested	\$2,192,749
Total Cost	\$5,014,749	Est. Market Value	\$6,600,000
Hold Period	Stabilized	Exit Per Unit	\$660,000 / unit

INVESTOR TAKEAWAY

The highest projected return in the entire VWC portfolio — earned by waiting four months for the right entry price on an asset that never should have been available below the line. The deal also demonstrates the compounding value of submarket density: VWC's existing Laguna position is what closed the deal, not just the offer price.

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